

FEDERAL MARITIME COMMISSION

IAN MILLS, <i>Claimant</i> v. CROWLEY LOGISTICS, INC., <i>Respondent</i>	FORMAL DOCKET NO. 1995(F)
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July 18, 2023

CLAIMANT'S REPLY MEMORANDUM

BACKGROUND

I. On May 31, 2023, the Claimant filed a Small Claim Form for Informal Adjudication along with 6 Attachments with the Commission.

II. On June 6, 2023, the Commission served the claim upon the Respondent.

III. On July 3, 2023, the Respondent did not consent to the small claims for informal adjudication procedure and provided a response to the claim comprising the following:

1. Respondent's Response & Answer to Complaint
2. Respondent's Memorandum in Support of its Answer and Motion to Dismiss Complaint
3. Affidavit of Steven Ficon (with associated exhibits)
4. Respondent's Affidavit

Along with a Notice of Appearances of counsel for the Respondent.

IV. This Claimant's Reply Memorandum is my response to each of the 4 documents listed above. This Reply Memorandum is accompanied by 3 Attachments. I first provide a summary of the claim (as the Respondent's documents continue to stray from these facts).

CLAIM SUMMARY

Here are the key facts – no more and no less:

1. The Parties agreed that the Respondent would ship items to the Claimant.
2. The Parties agreed that the Claimant would provide the Respondent with details (in form of purchase invoices) for **all items to be shipped**.
3. The Claimant provided the Respondent with purchase invoices for **all items to be shipped. One of these items was the purchase invoice for a generator** (Attachment 2 of the Claim).
4. The Respondent received all items to be shipped which included **the Respondent collecting and signing for the generator** (Attachment 3 of the Claim).
5. The Respondent created a Bill of Lading.
6. The Respondent shipped the items listed within the Bill of Lading to the Claimant.

7. However, it was the Respondent's fault for not including one item it had received, the generator, in the Bill of Lading.
8. Accordingly, the Respondent **did not ship the generator to the Claimant** (Attachments 4 and 5 of the Claim).
9. The Claimant asked for his property back but the Respondent said they **couldn't find the generator** (as they don't have adequate systems in place and/or enforced).
10. The Claimant repeatedly requested the Respondent to **either return the generator or refund the cost** but the Respondent has not done so.

The Respondent repeatedly claims the Bill of Lading terms apply to the generator – despite it not being included in the Bill of Lading (which the Respondent accepts). The Bill of Lading terms are **irrelevant to the facts of this case** being that the Respondent signed for and collected the Claimant's property, didn't include it in the Bill of Lading, didn't ship it and won't return it to the Claimant.

RESPONDENT'S RESPONSE & ANSWER TO COMPLAINT

I. I have put track-changes showing the Claimant's response to the points made in the 'Respondent's Response & Answer to Complaint' (**Attachment 1 of this Reply Memorandum**).

II. Here are key points to note:

Attachments – The Respondent's counsel states that they did not receive the Attachments to the claim. In that case, it would have been much better if they had requested the Attachments from either the Commission or Claimant. Instead, they have proceeded to set out a defense which is, in many places, contrary to the evidence provided in the Claim Attachments (for example, signed proof that the Respondent collected the generator). However, all these Attachments were described within the claim itself. For completeness, this Reply Memorandum re-attaches the 6 Attachments to the claim (**Attachment 2 of this Reply Memorandum**).

Proof of signing for the generator – An important fact of the case is that the Respondent signed for the Claimant's generator when collecting it. The claim refers to this fact extensively and provides proof as Attachment 3 to the claim. However, despite this, the Respondent's position is that they are unable to determine if they collected the generator. This clearly demonstrates that they don't have adequate systems in place or enforced i.e. they are carrying out unreasonable practices for collecting and handling property, in breach of Section 41102(c) (general prohibition) (more on next page).

Bill of Lading – The Parties both agree that they intended for the Respondent to ship a container plus various items, but the Respondent's response continues to demonstrate a lack of understanding of the following issues:

- **Applicability** – The Respondent accepts that the Bill of Lading does not include the generator. The Parties agree on that. It naturally follows that the Bill of Lading terms therefore do not apply to the generator. [Imagine if this argument were used the other way around and customers could claim Bills of Lading include things not listed in them?]. The Respondent wrongly spends a lot of time in their response and

memorandum setting out the terms of the Bill of Lading – which simply do not apply to the facts of this case.

- **Dates** – The Respondent repeatedly attempts to suggest that the Bill of Lading was entered into before the Parties agreed for items to be sent to/collected by the Respondent. It was the other way around. Only once (a) all the items, and (b) invoices for each item, were received by the Respondent, did the Respondent then create a Bill of Lading based on that information (though they omitted the generator). All items were with the Respondent by November 19, 2021, whereas the Bill of Lading was created on November 24, 2021 – 5 days later. The facts of this case point to the reality that the Respondent signed for the Claimant’s property and then lost it without the Parties entering into a contract for the shipping of it.
- **Invoices for all items to be shipped** – Along with invoices for 98 items that were to be shipped, the Claimant provided the Respondent with the invoice for the generator on November 9, 2021 (Attachment 2 to the claim). The Respondent had this when arranging for the container, generator and transformer to be collected from the Claimant’s supplier.

RESPONDENT’S MEMORANDUM IN SUPPORT OF ITS ANSWER AND MOTION TO DISMISS COMPLAINT

I. I have put track-changes showing the Claimant’s response to the points made in the ‘Respondent’s Memorandum in Support of its Answer and Motion to Dismiss Complaint’ (**Attachment 3 of this Reply Memorandum**).

II. The Claimant **opposes the motion to dismiss** for reasons set out in this Reply Memorandum as well as in Attachment 3 of this Reply Memorandum and the Claimant respectfully requests the Honorable Administrative Judge to dismiss that motion.

III. Here are key points to note:

Section 41102(c) (general prohibition) – In line with interpretation of this section, the Respondent has not established and/or enforced reasonable practices through omissions carried out on a normal basis. There is clear evidence – based on the facts of this case – that the Respondent is doing that by not having (or enforcing) an adequate system for confirming receipt of property that it collects (in contrast to items which are sent to it).

This is clear because (a) the Respondent’s Truck Driver used no system (receipts/logs etc) to confirm receipt of the generator (fortunately the Claimant has evidence from the supplier’s paperwork); (b) the Respondent’s focal point (Elizabeth Guia, logistics coordinator) had no way to determine whether the generator had or had not been collected; (c) the Respondent’s internal investigation (between December 14 and December 20) revealed that the Respondent’s warehouse team did not keep a record or photograph of what it received from the Truck Driver and couldn’t confirm either way what was received; and (d) the Respondent’s internal complaint procedure made no enquiries with the Claimant nor with the supplier of the generator (despite the Claimant having provided signed paperwork showing collection by the Respondent) nor appeared to follow up directly with the Truck Driver. All of

this demonstrates omissions being carried out on a normal and continuous basis resulting in unreasonable practices overseeing the collection and handling of property.

Section 41104(a) (common carriers) – This section prohibits a carrier from acting unfairly, directly or indirectly, in the matter of loading and landing freight for service pursuant to a tariff. The section accepts **indirect action** and **matters related** to loading freight in accordance with a service being provided. Based on the facts of this case, from the point when the Claimant agreed to proceed with the Respondent – based on the container shipping quote and emails agreeing various items for shipment would be sent to or collected by the Respondent – the Parties had the intention for the Respondent to load and land freight in accordance with a service pursuant to a tariff subject to putting in place a Bill of Lading once items were received – and so when the Respondent collected the generator but did not have a system in place (or implemented) for recording that, it clearly became an indirect matter related to loading freight in accordance with a service being provided with the Respondent breaching this Section.

Attorney fees – Under Sections 502.254, 502.321 and 502.318(b), it is at the discretion of the Commission whether to permit attorney fees to be awarded. The Claimant submitted the claim using the informal procedure for adjudication of small claims. The total claim is \$10,662, significantly less than the guidelines encouraging use of the informal procedure for claims less than \$50,000. This is a meritorious and relatively small claim and the Claimant has not afforded attorneys. Awarding attorney fees would also be disproportionate to the size of the claim. The Commission Statement on Attorney Fees (Docket No. 21-14 issued December 28, 2021) is clear that “complainants who raise non-frivolous claims in good faith, who litigate zealously but within the rules and for proper purposes, and who comply with Commission orders are at little risk of attorney fee liability if they are unsuccessful, absent unusual circumstances”. The Claimant requests the Administrative Judge not to permit attorney fees to be awarded to either party in this case.

CLAIMANT RESPONSE TO THE RESPONDENT’S AFFIDAVIT OF STEVE FICON

I. The Respondent’s Affidavit of Steven Ficon covers very similar areas to the Respondent’s reply and answer to Claimant, which I have addressed above and in track changes in that document. Accordingly, I will not repeat all those points in the Affidavit save to emphasize here that:

- **Paragraphs 5, 6 & 7 (Bill of Lading)** – These paragraphs should come after not before paragraphs 8 & 9. It is incorrect for Steven to suggest the Bill of Lading was entered into prior to the Respondent receiving the items. Only after ALL ITEMS were with the Respondent – including the Respondent signing for and collecting the generator – did the Respondent create a Bill of Lading. It was the Respondent’s fault for not including the generator in the Bill of Lading and not shipping it and retaining the Claimant’s property.
- **Paragraph 13 (Internal Claim)** – The Claimant is not claiming the Respondent is liable under the Bill of Lading – but that the Respondent is liable for breaching the Shipping Act/CFR regulations by not reasonably handling the generator which it collected and signed for and which the Claimant has since spent a lot of time and costs incurred trying to get back from the Respondent (including submitting a claim to

the Respondent's internal claims team but which, after 4-months waiting, did not resolve the matter and I turned down their tiny offer).

RESPONDENT'S AFFIDAVIT

I. As explained on the previous page, the Claimant submitted the claim using the informal procedure for small claims. The total claim is \$10,662, significantly less than the guidelines encouraging use of the informal procedure for any claims less than \$50,000. The Respondent did not consent with the small claims procedure, and although not required, did not provide any justification. The Claimant notes this decision but does not agree with it and views the formal adjudication process as disproportionate for the size of the claim. The Claimant requests this be taken into account by the Commission and not to approve petitions for attorney fees.

Attached are 3 Attachments in support of this Claimant Reply Memorandum.

(Date) July 18, 2023

(Claimant's signature) *Ian W. Mills*

(Claimant's address) 47B Millennium Heights, Welches, Barbados

(Agent or attorney) N/A

VERIFICATION

I verify under penalty of perjury under the laws of the United States of America that the foregoing is true and correct.

Ian W. Mills

July 18, 2023

Ian Mills

Certificate of Service

I hereby certify that I have this day served the foregoing document upon all parties of record in this proceeding by emailing a copy to each such person in sufficient time to reach such person on the date the document is due to be filed with the Commission.

July 18, 2023

Ian W. Mills

Ian Mills
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Welches, Barbados